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## Global Macro Commentary | Global

## October 8: Central Bank Surprises

Surprise rate decisions in New Zealand (50bp cut), Poland (25bp cut), and Thailand (no change despite a cut expected); France to appoint new prime minister; slightly hawkish September FOMC minutes; weak 10y UST auction; JPY weakens further; DXY at 98.915 (+0.3%); US 10y at 4.117 (-0.6bp).

**Quiet session with slightly hawkish FOMC minutes, though New Zealand, Thailand, and Poland see surprise monetary policy decisions from their respective central banks.**

## Developed Markets

- US rates twist flatten, with front-end yields underperforming (2y: -2bp) after a somewhat weak auction and slightly hawkish FOMC minutes.**  
 Yields drift higher through the New York morning in a possible concession ahead of the afternoon's 10y auction, which tails by 0.4bp on tepid demand. Front-end yields remain elevated as the September FOMC minutes come in slightly hawkish, revealing that "a few" FOMC members saw merit in keeping rates on hold in September. The minutes contain few surprises otherwise, conveying a greater focus on labor market risks compared to inflation, in line with Chair Powell's remarks. Our economists maintain their [expectation](#) for consecutive 25bp cuts through January.
- Euro area rates bull-flatten (30y Bund: -3bp), led by France (30y OAT: -5bp) and Italy (30y BTP: -6bp) amid political developments viewed as constructive by market participants.** French rates and equities (CAC 40: +1.1%) rally as outgoing Prime Minister Lecornu emphasizes the importance of reducing the fiscal deficit, stating that he expects a 2026 deficit target below 5% of GDP and is open to negotiating with other political parties, reducing the perceived likelihood of a snap election. After European markets close, Lecornu confirms that President Macron will instead [appoint](#) a new prime minister within 48 hours, highlighting continued "possibilities for a compromise" in the current parliament.
- JPY weakens further, with USD/JPY reaching 152.70 (+0.5%), even as Japanese rates continue to reverse their steepening from after Takaichi's election.** We believe USD/JPY has been supported by a resurgence in demand for the carry trade, a bullish US economic outlook, and an elevated fiscal risk premium in Japan. Meanwhile, Japanese rates continue to twist flatten following Tuesday's [comments](#) from Takaichi's economic adviser suggesting openness to a December hike. Front-end JGBs slightly extend their sell-off while the long end rallies further on back of Tuesday's strong 30y auction. However, 5y JGBs underperform (+3bp) ahead of Thursday's 5y auction, which we expect to be digested smoothly. Despite uncertainty

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regarding the BoJ policy rate path under a new prime minister, 5y JGB yields have almost fully retraced their weakness since the LDP election. We think it would be difficult for 5y yields to rise further from their current ~1.2% level, given a potential slowdown in domestic inflation.

- **The dollar strengthens in line with higher front-end US yields, and New Zealand sees a surprise 50bp rate cut.** NZD weakens 0.3% against AUD after the RBNZ unexpectedly lowers its policy rate from 3% to 2.5%, whereas consensus expected only a 25bp cut. Elsewhere in the G10, SEK weakens 0.4% against USD after a soft September CPI print in Sweden at 0.9% y/y (C: 1.0%). CAD holds steady against USD as oil prices edge higher (Brent: +1.2%). After markets close, President Trump [announces](#) progress towards a potential ceasefire in the Middle East.

### Emerging Markets

- **In Poland, rates bull-steepen (2y: -4bp; 10y: -2bp) after the NBP delivers a surprise 25bp cut to 4.50%,** against our economists' and consensus expectations for the NBP to remain on hold until November. Our economists still expect a terminal rate of 3.25%, but now see risks skewed towards a more front-loaded easing cycle. Rates also rally in the Czech Republic as September unemployment comes in slightly stronger than expected (4.6%; C: 4.5%).
- **In Thailand, rates underperform the region after the BoT unexpectedly holds rates steady at 1.50%,** despite our economists and the consensus calling for a 25bp cut. Accordingly, front-end Thai rates sell off (1y THB NDIRS: +9bp) in a bear-flattening, and weakens slightly against USD despite record-high gold prices at over \$4,000/oz (+1.5%).
- **AxJ rates rally while local currencies weaken alongside JPY.** KRW is a regional underperformer given its high correlation with JPY, weakening 0.8% against USD amid a local holiday. Indonesian rates outperform, with 10y IndoGBs rallying 7bp on the back of weak September consumer confidence (115:0; P: 117.2) following Tuesday's [strong](#) bond auction. PHP outperforms, gaining 0.3% against USD after a notable decline in the Philippines' August unemployment rate at 3.9% (P: 5.3%).
- **LatAm currencies trade mixed, with BRL lagging regional peers as fiscal concerns resurface amid Brazilian President Lula's reelection push.** Brazilian officials [state](#) that the government currently has no plans to implement previously reported proposals such as free public transport. Brazil's DI curve outperforms, with yields decreasing 2-3bps. CLP is a regional outperformer (USD/CLP: -0.8%) as Chile's September CPI comes in roughly in line with expectations (0.44%; C: 0.40%), reinforcing the central bank's cautious tone on inflation risks. Colombian rates underperform the region, with belly tenors selling off 5bp after Tuesday evening's September inflation data also came in strong at 5.2% y/y (C: 5.1%).

### Central Bank Monitor

#### Developed Markets

- In **New Zealand**, the **RBNZ** lowered rates by 50bp to 2.50% (C: 2.75%; P: 3.00%). The RBNZ **signaled** openness to further easing in order to have inflation settle near the 2 percent target mid-point in the medium term.
- **US September FOMC Meeting Minutes** leaned slightly hawkish, noting that some members could have supported no rate cut, even as the Committee signaled greater tolerance for near-term inflation compared to before Jackson Hole. At the same time, the focus continues to pivot toward labor market risks, with uncertainty around payroll growth and increased attention to indicators like unemployment and vacancy rates.
- **ECB Governing Council Member Escriva** **said** a rate cut is not necessarily the next move. She emphasized the ECB's "full optionality" in future decision-making on rates.

### Emerging Markets

- In **Poland**, the **NBP** lowered its rates by 25bp to 4.50% (MSe: 4.75%; C: 4.75%; P: 4.75%), against our economists' and consensus expectations for a November cut. Our economists still expect a terminal rate of 3.25% but now see risks skewed to a more front-loaded easing cycle. [Read more](#)
- In **Thailand**, **BoT** kept the policy rate unchanged at 1.50% in a 5-2 vote (MSe: 1.25%; C: 1.25%; P: 1.50%). Members who voted for no change highlighted the limited policy space. BoT **reiterated** that monetary policy should remain accommodative to support the economy, and it stands ready to adjust its policy stance. The central bank slightly revised down its GDP growth forecasts to 2.2% for 2025 (P: 2.3%) and 1.6% for 2026 (P: 1.7%), while lowering headline inflation forecasts more meaningfully to 0.0% for 2025 (P: 0.5%) and 0.5% for 2026 (P: 0.8%), expecting inflation to return to the target range only by early 2027.
- **BoT Assistant Governor Sakkapop** said the central bank is monitoring core inflation, which it projects at 0.9% in 2025 and 2026. He **added** the BoT will step in if THB volatility is too high, as THB strength has hurt exporters' income. He noted that Thailand's policy transmission rate in the new cycle is around 57%.

**Exhibit 1:** G4 Rates Closes (5pm NY)

| Tenor | US    |           |     | Germany |           |     | UK    |           |     | Japan |           |     |
|-------|-------|-----------|-----|---------|-----------|-----|-------|-----------|-----|-------|-----------|-----|
|       | 8-Oct | 1d Δ (bp) | 2wk | 8-Oct   | 1d Δ (bp) | 2wk | 8-Oct | 1d Δ (bp) | 2wk | 8-Oct | 1d Δ (bp) | 2wk |
| 2y    | 3.580 | 1.7       |     | 1.986   | (1.5)     |     | 3.991 | 1.2       |     | 0.919 | 1.3       |     |
| 3y    | 3.594 | 1.6       |     | 2.060   | (2.0)     |     | 4.003 | 0.8       |     | 1.011 | 0.9       |     |
| 5y    | 3.715 | 1.4       |     | 2.269   | (2.7)     |     | 4.146 | 0.1       |     | 1.218 | 0.8       |     |
| 7y    | 3.898 | 0.3       |     | 2.411   | (2.9)     |     | 4.293 | (0.4)     |     | 1.474 | 0.5       |     |
| 10y   | 4.117 | (0.6)     |     | 2.678   | (3.0)     |     | 4.708 | (1.0)     |     | 1.685 | 0.6       |     |
| 20y   | 4.669 | (1.4)     |     | 3.161   | (3.1)     |     | 5.397 | (1.8)     |     | 2.690 | (0.4)     |     |
| 30y   | 4.708 | (1.6)     |     | 3.262   | (3.0)     |     | 5.509 | (2.4)     |     | 3.145 | (14.3)    |     |

Source: Morgan Stanley Research, Bloomberg

**Exhibit 2:** Inflation Closes (5pm NY)

| US TIPS |       |           |     | 10y Real Yields, BEI |        |           |     |      |       |           |     |
|---------|-------|-----------|-----|----------------------|--------|-----------|-----|------|-------|-----------|-----|
| Tenor   | 8-Oct | 1d Δ (bp) | 2wk | 10y                  | 8-Oct  | 1d Δ (bp) | 2wk | 10y  | 8-Oct | 1d Δ (bp) | 2wk |
| 5y      | 1.252 | 0.7       |     | DBRi                 | 0.697  | (3.0)     |     | BTPi | 1.786 | (6.5)     |     |
| BEI     | 2.436 | 0.9       |     | BEI                  | 1.768  | 0.1       |     | BEI  | 1.736 | 0.5       |     |
| 10y     | 1.753 | (1.1)     |     | UKTi                 | 1.677  | (0.9)     |     |      |       |           |     |
| BEI     | 2.363 | 0.7       |     | BEI                  | 3.104  | (0.1)     |     |      |       |           |     |
| 30y     | 2.446 | (2.2)     |     | JGBi                 | -0.010 | 0.5       |     |      |       |           |     |
| BEI     | 2.266 | 0.8       |     | BEI                  | 1.666  | 0.1       |     |      |       |           |     |

Source: Morgan Stanley Research, Bloomberg

**Exhibit 3:** Macro Closes (5pm NY)

| Majors |        |          |     | EM   |       |          |     | Equities / Commodities |          |          |     |
|--------|--------|----------|-----|------|-------|----------|-----|------------------------|----------|----------|-----|
| Spot   | 8-Oct  | 1d Δ (%) | 2wk | Spot | 8-Oct | 1d Δ (%) | 2wk | Index                  | 8-Oct    | 1d Δ (%) | 2wk |
| DXY    | 98.92  | 0.3      |     | CNH  | 7.15  | 0.1      |     | S&P                    | 6753.72  | 0.6      |     |
| EUR    | 1.163  | (0.2)    |     | INR  | 88.80 | 0.0      |     | Stoxx                  | 5649.73  | 0.6      |     |
| GBP    | 1.340  | (0.2)    |     | THB  | 32.53 | 0.1      |     | FTSE                   | 9548.87  | 0.7      |     |
| JPY    | 152.69 | 0.5      |     | KRW  | --    | --       |     | Nikkei                 | 47734.99 | (0.5)    |     |
| CHF    | 0.802  | 0.5      |     | ZAR  | 17.16 | (0.4)    |     | VIX                    | 16.30    | (5.5)    |     |
| AUD    | 0.659  | 0.1      |     | MXN  | 18.34 | (0.3)    |     | Gold (S)               | 4042.03  | 1.4      |     |
| CAD    | 1.395  | 0.0      |     | BRL  | 5.34  | (0.1)    |     | WTI (Fut)              | 62.55    | 1.3      |     |

Source: Morgan Stanley Research, Bloomberg

**Exhibit 4:** G4 Central Bank Implied Pricing

| Central Bank OIS |           |         |        |              |           |         |        |              |           |         |        |
|------------------|-----------|---------|--------|--------------|-----------|---------|--------|--------------|-----------|---------|--------|
| Fed              |           |         |        | ECB          |           |         |        | BOE          |           |         |        |
| Implied          | 1d Δ (bp) | Total Δ |        | Implied      | 1d Δ (bp) | Total Δ |        | Implied      | 1d Δ (bp) | Total Δ |        |
| EFFR (10/7)      | 4.090     | 0.0     | --     | EONIA (10/7) | 1.926     | 0.0     | --     | SONIA (10/7) | 3.968     | 0.0     | --     |
| 10/29/25         | 3.862     | 0.5     | (22.8) | 10/30/25     | 1.924     | (0.0)   | (0.2)  | 11/06/25     | 3.951     | 0.1     | (1.7)  |
| 12/10/25         | 3.648     | 0.7     | (44.2) | 12/18/25     | 1.902     | (0.3)   | (2.4)  | 12/18/25     | 3.911     | 0.0     | (5.6)  |
| 01/28/26         | 3.547     | 1.0     | (54.3) | 02/05/26     | 1.883     | (0.6)   | (4.3)  | 02/05/26     | 3.809     | 0.2     | (15.9) |
| 03/18/26         | 3.440     | 1.2     | (65.0) | 03/19/26     | 1.826     | (1.9)   | (10.0) | 03/19/26     | 3.780     | (0.0)   | (18.8) |
| 04/29/26         | 3.382     | 1.7     | (70.8) | 04/30/26     | 1.825     | (1.3)   | (10.1) | 04/30/26     | 3.700     | (0.2)   | (26.7) |
| 06/17/26         | 3.249     | 1.9     | (84.1) | 06/11/26     | 1.809     | (1.9)   | (11.7) | 06/18/26     | 3.677     | (0.1)   | (29.1) |
|                  |           |         |        |              |           |         |        |              |           |         |        |

Source: Morgan Stanley Research, Bloomberg

**The Day Ahead***Developed Markets*

- 7:00am BST - **Germany August Trade Balance** (MSe: 14.5; C: 15.5; P: 14.8)
- 9:30am BST - **BoE External Member Mann** will speak about the consumption gap at the Resolution Foundation
- 11:30am BST - **ECB Governing Council Member Elderson** will speak in Tallin
- **ECB President Lagarde** and **ECB Executive Board Member Cipollone** will speak in Luxembourg
- 8:30am EST - **Fed Chair Powell** will deliver welcoming remarks
- 8:35am EST - **Fed Vice Chair for Supervision Bowman** will speak
- 12:45pm EST - **Fed Governor Barr** and **Minneapolis Fed President Kashkari** will speak about the economic outlook
- 3:45pm EST - **Fed Vice Chair for Supervision Bowman** will speak about community banking
- 9:40pm EST - **San Francisco Fed President Daly** will speak at the Silicon Valley Directors Exchange

*Emerging Markets*

- Thu 2:30pm HKT - **Philippines BSP Monetary Policy Meeting** (MSe: 4.75%; C: 5.00%; P: 5.00%). Our economists [expect](#) BSP to lower its policy rate by 25bp given below-target inflation.
- 4:00pm HKT - **Taiwan September Trade Balance** (MSe: \$16.4bn; C: \$16.3bn;

- P: \$16.8bn); **Exports** (MSe: 43.3% y/y; C: 38.8%; P: 34.1%) & **Imports** (MSe: 24.5%; C: 22.5%; P: 29.7%)
- Oct 9-15 - **China September Broad Credit Growth** (MSe: 8.8% y/y; C: 8.8%; P: 9.0%); **New TSF** (MSe: RMB3150bn; C: RMB3344bn; P: RMB2570bn); **New CNY Loans** (MSe: RMB1450bn; C: RMB1472bn; P: RMB590bn) & **M2 Money Supply** (MSe: 8.5% y/y; C: 8.5%; P: 8.8%). Our economists [expect](#) broad credit growth moderated due to a fading fiscal impulse, slowing manufacturing capex with tariff impacts, the anti-involution push, and a subdued property market.
  - Oct 9-16 - **Korea September Total Bank Lending to Households** (P: KRW1168.3tr)
  - 8:00am BST - **Turkey August Industrial Production** (P: 5.0% y/y)
  - 12:00pm BST - **South Africa August Manufacturing Production** (C: -0.4%; P: -0.7% y/y)
  - 7:00am EST - **Brazil September IPCA** (MSe: 0.51% m/m; P: -0.11%; C: 0.54%). Our economists expect a rebound from last month's inflation print. Markets are currently pricing in only ~1 bp of cuts this year, but almost 200 bps of cuts for 2026 through 2027, with a terminal rate of ~12.76% by mid-2027.
  - 8:00am EST - **Mexico 2H/September CPI** (P: 0.18% y/y; C: 0.08%). Consensus expects bi-weekly inflation to ease, reflecting continued progress on disinflation. A softer print would reinforce Banxico's cautious stance and support expectations for future cuts in the near term. Markets are currently pricing in ~70 bps of cuts and a terminal rate of 6.80% at the end of 2026.
  - 11:00am EST - **Mexico Monetary Policy Minutes**: At its September meeting, Banxico lowered the benchmark rate by 25bps to 7.50%, citing weak growth and the need for stimulus while remaining cautious of sticky core inflation. Tomorrow's minutes will be closely watched for details on how the Board balanced growth concerns against inflation risks, and for any signals on the likelihood of further easing at upcoming meetings. Markets will pay particular attention to board members' views on recent mixed CPI prints and activity data, as well as any discussion of Fed policy, which could influence Banxico's room to cut rates.

## Economic Releases

### Developed Markets

- Japan August Monthly Labor Survey Nominal Wage Growth**: 1.5% y/y (MSe: 2.7% y/y, C: 2.7%, P: 3.4%). Lower-than-expected special cash earnings (summer bonuses) drove the negative surprise, but the underlying trend in wage growth has remained solid. [Read more](#)
- Germany August Industrial Production**: -4.3% (MSe: -0.4%; C: -1%; P: 1.3%)
- Sweden September Flash CPI**: 0.9% y/y (MSe: 0.9% y/y; C: 1.0%; P: 1.1%); **CPIF**: 3.1% y/y (MSe: 3.0% y/y; C: 3.2%; P: 3.2%) & **CPIF ex Energy**: 2.7% (MSe: 2.7% y/y; C: 2.8%; P: 2.9%). Our economists note the print comes in line with Riksbank forecast from the September monetary policy report, but below consensus.

### Emerging Markets

- **Philippines August Unemployment Rate:** 3.9% (P: 5.3%)
- **Indonesia September Consumer Confidence:** 115.0 (P: 117.2)
- **Thailand September Consumer Confidence:** 50.7 (P: 50.1)
- **Taiwan September Headline CPI:** 1.25% y/y (MSe: 1.5%; C: 1.64%; P: 1.60%); **Core CPI:** 1.46% y/y (MSe: 1.5%; C: 1.70%; P: 1.75%) & **PPI:** -3.73% y/y (P: -4.83%)
- **Hong Kong September FX Reserves:** \$419.2bn (P: \$421.6bn)
- **Hungary September CPI:** 4.3% y/y (MSe: 4.2%; C: 4.4%; P: 4.3%)
- **Czech August Retail Sales:** 3.5% y/y (C: 3.1%; P: 2.2%)
- **Czech September Unemployment Rate:** 4.6% (C: 4.5%; P: 4.5%)
- **Egypt September CPI:** 11.7% y/y (P: 12.0%)
- **Chile September CPI:** 0.44% (MSe: 0.29% m/m; P: 0.04%; C: 0.40%). Above consensus and our economists' [expectations](#), marking a clear re-acceleration after August's near-flat print. Core goods rebounded (+0.61% vs. -0.28% prior), led by higher prices for bread, personal care, toys, and medicines; core services remained steady (+0.24% vs. +0.21%), supported by restaurants, rents, and water. Volatile items also picked up (+0.52% vs. +0.08%), mainly fresh produce and transport, with food volatiles adding ~13bp to headline. Despite the acceleration, both goods and services remain in line with historical patterns. The print supports our economists' call for a 25bp rate cut in December.

For more details, please refer to our economists' weekly reports and data previews:

- [US](#)
- [Japan](#)
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# G4 Smarter (Beta) Trading Partners

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Since 2000, enhancements to a G4 10y government bond futures momentum strategy have produced higher Sharpe ratios and stronger returns relative to total return government bond indices for the G4: US, Germany, Japan, and the UK. See [A "Smarter" \(Beta\) Way to Trade G4 10y Futures Duration?](#) for more information on these strategies.

## Exhibit 5: Trading Signals for G4 Smarter (beta) Trading Strategy

| Current Risk, G4 10y Futures | G4 Strategy Weight | Trade Longs Portfolio | Fade Shorts Portfolio | Total Risk Trade Longs Only | Total Risk Trade Longs/Fade Shorts (max 200%) | Trade Longs Portfolio Entry Date | Trade Longs Portfolio Exit Date | Fade Shorts Portfolio Entry Date | Fade Shorts Portfolio Exit Date |
|------------------------------|--------------------|-----------------------|-----------------------|-----------------------------|-----------------------------------------------|----------------------------------|---------------------------------|----------------------------------|---------------------------------|
| J8 10y Future                | 32.50%             | 100%                  | 100%                  | 100%                        | 200%                                          | 9/9/2025                         | 10/17/2025                      | 9/19/2025                        | 10/28/2025                      |
| GE 10y Future                | 29.25%             | 100%                  | 100%                  | 100%                        | 200%                                          | 9/8/2025                         | 10/14/2025                      | 9/15/2025                        | 10/20/2025                      |
| US 10y Future                | 30.50%             | 0%                    | 100%                  | 0%                          | 100%                                          | -                                | -                               | 9/24/2025                        | 10/30/2025                      |
| UK 10y Future                | 7.75%              | 100%                  | 100%                  | 100%                        | 200%                                          | 9/10/2025                        | 10/15/2025                      | 9/25/2025                        | 10/30/2025                      |

Source: Morgan Stanley Research

### Trading Strategy 1 – "Trade Longs/Fade Shorts"

When the 5-day moving average crosses above the 20-day moving average, buy the futures contract (long duration) and hold for a 25-business-day period. When the 5-day moving average crosses below the 20-day moving average, buy the futures contract and hold for a 25-business-day period. In short, this strategy buys futures when the Simple Moving Average Crossover (SMAX) generates both a long and a short signal, given the historical outperformance of long signals traded long and the underperformance of short signals traded short. Given that the SMAX could generate both a long and a short signal within the predefined holding period, an investor may have a 200% long position since each of the two signals would be traded in separate portfolio sleeves.

### Trading Strategy 2 – Trade "Longs Only"

When the 5-day moving average crosses above the 20-day moving average, buy the futures contract (long duration) and hold for a 25-business-day period. When the 5-day moving average crosses below the 20-day moving average, do nothing. In short, an investor *only* trades long signals initiated by the SMAX given their historical precedent to outperform.

# US Holiday Trading Strategy

## Currently Active Strategies

None.

Combining the individual trading signals based on 10y Treasury future (TY) price patterns before and after US holidays has generated an annual strategy with no down years since 1987. See [Trading 10y Treasury Futures Around US Holidays](#) for more information.

Using historical data since 1983, we created a trading strategy using 10y Treasury futures (TY) that trades 11 times per year, either long or short, before or after the following US holidays: New Year's Day, Martin Luther King Day, Presidents' Day, Good Friday, Memorial Day, Independence Day, Labor Day, Columbus Day, Thanksgiving, and Christmas. [Exhibit 6](#) displays the trading rules:

**Exhibit 6:** Trading rules for US holiday trading model using US 10y futures contracts (TY)

| Holiday                     | Day of Week | Direction | Before/After Holiday | Trading Rule (business days, 3pm NY unless specified)                  | Trade Entry (business days) | Trade Exit (business days) |
|-----------------------------|-------------|-----------|----------------------|------------------------------------------------------------------------|-----------------------------|----------------------------|
| New Year's Day              | Rotates     | Long TY   | After                | Buy TY New Years +1, Sell TY New Years +4                              | New Year + 1                | New Year + 4               |
| Martin Luther King Day 1    | Monday      | Long TY   | Before               | Buy TY Tuesday before MLK, Sell Friday before MLK                      | MLK - 4                     | MLK - 1                    |
| Martin Luther King Day 2    | Monday      | Short TY  | After                | Sell TY Tuesday after MLK, Buy Friday after MLK                        | MLK + 1                     | MLK + 4                    |
| President's Day             | Monday      | Long TY   | After                | Buy TY Tuesday after Pres. Day, Sell TY Friday after Pres. Day         | Pres. Day + 1               | Pres. Day + 4              |
| Good Friday                 | Friday      | Long TY   | After                | Buy TY Monday after Good Friday, Sell TY Friday after Good Friday      | Good Friday + 1             | Good Friday + 5            |
| Memorial Day                | Monday      | Long TY   | After                | Buy TY Tuesday after Mem. Day, Sell TY Friday after Mem. Day           | Mem. Day + 1                | Mem. Day + 4               |
| Independence Day (July 4th) | Rotates     | Long TY   | After                | Buy TY Independence Day + 2, Sell TY Independence Day + 4              | Ind. Day + 2                | Ind. Day + 4               |
| Labor Day                   | Monday      | Long TY   | Before               | Buy TY Monday before Labor Day, Sell TY Thursday before Labor Day      | Labor Day - 4               | Labor Day - 2              |
| Columbus Day                | Monday      | Short TY  | Before               | Sell TY Monday before Col. Day, Buy TY Thursday before Col. Day        | Colum. Day - 5              | Colum. Day - 2             |
| Thanksgiving                | Thursday    | Long TY   | Before               | Buy TY Friday before Thanksgiving, Sell TY Tuesday before Thanksgiving | Thanksgiving - 4            | Thanksgiving - 2           |
| Christmas                   | Rotates     | Short TY  | Before               | Sell TY Christmas Day - 4, Buy TY Christmas Day - 1                    | Christmas - 4               | Christmas - 1              |

Source: Morgan Stanley Research. Note: Past performance is no guarantee of future results.

# Global Macro Strategy Team

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|-----------------------|-------------------|------------|----------------------------------|----------------|----------------------|---------------------------------------------------|-----------------------|
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| Overweight/Buy        | 1499              | 41%        | 389                              | 46%            | 26%                  | 702                                               | 41%                   |
| Equal-weight/Hold     | 1618              | 44%        | 375                              | 44%            | 23%                  | 782                                               | 45%                   |
| Not-Rated/Hold        | 4                 | 0%         | 1                                | 0%             | 25%                  | 1                                                 | 0%                    |
| Underweight/Sell      | 577               | 16%        | 88                               | 10%            | 15%                  | 234                                               | 14%                   |
| Total                 | 3,698             |            | 853                              |                |                      | 1719                                              |                       |

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